

INDEPENDENT AUDITOR'S REPORT

To the Executive Director and Conference of Ministers of Foreign Affairs of Western Balkan Fund

Opinion

We have audited the statement of financial position of Western Balkan Fund ("The Organization") which comprise the financial position on 31 December 2023, the statement of activities and the statement of cash flows for the year then ended and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of Western Balkan Fund on 31 December 2023, are prepared in all material respects in accordance with the Modified cash basis of accounting as described in Note 2.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of Western Balkan Fund within the meaning of the Board of the International Ethics Standards for Accounting Professionals (code BSNEPK) and have fulfilled our other responsibilities under those ethical requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter – Basis of Accounting and Restriction on Distribution and Use

We draw attention to Note 2 to the Financial Statement which describes the basis of accounting. The financial statements are prepared to assist management of the Organization to meet the requirements of its Contributors. As a result, the financial statements may not be suitable for another purpose. Our opinion is not modified in respect of this matter.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with modified cash basis as described in Note 2, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, Management is responsible for assessing the Organization's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Organization or to cease operations, or has no realistic alternative but to do so. Those charged with the governance are responsible for overseeing the Organisation's financial reporting process.

Auditor's responsibility

The objectives of our audit are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of the audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism during the audit. We also:

- Identify and assess the risks of material misstatement, whether due to fraud or error, design and perform the audit procedures in response to these risks, and we obtain audit evidence which is sufficient and appropriate to provide the basis for our opinion. The risk of non-detection of a material misstatement due to fraud is higher than the risk of error because fraud may involve discretion, forgery, deliberate omissions, deformed information, and derogation of internal controls.
- We obtain an understanding of internal control to the extent of audit process, in order to determine audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of internal control of the Entity.
- We assess the appropriateness of accounting policies used, the reasonableness of accounting estimates and relevant explanations made by management.
- Draw a conclusion about the appropriateness of using the going concern basis of accounting and based on the audit evidence received, if there is a material uncertainty related to events or conditions that may cast significant doubt about the Company's ability to continue activity. If we conclude that there is an uncertainty, we must draw attention to the auditor's report in connection with the explanations given in the financial statements, or if these explanations are inadequate, we must modify our opinion. Our conclusions are based on the audit evidence ensured up to the date of our report. However, future events or conditions may cause the company to cease operations.
- Evaluate the overall presentation, structure and content of financial statements, including information disclosed and whether the financial statements present their transactions and events in order to achieve a fair presentation.

We communicate with the management of the company inter alia, on the audit scope and time and significant audit findings, including any significant deficiencies in internal control that we can identify during the audit.

Tirana

Date 30 April 2024

